

the declaration date, the board will also announce a date of record date and a payment date.

Date of record: It is the date on which a company reviews its records to determine exactly who its shareholders are. An investor must be a "holder of record" in order to receive a dividend payout. A stock will almost always begin trading ex-dividend (or "ex-rights") the second business day before the record date.

Ex-dividend date: It is the single most important date for dividend investors to consider. To receive a stock's upcoming dividend, an investor must purchase shares of the stock prior to the ex-dividend date. Two business days before the 'Date of Record', anyone who buys the stock will not receive the dividend. This date is set by the stock exchange the stock trades on. If you examine a stock chart for a dividend stock, you will often see that the price plummets on the ex-dividend date and then slowly recovers throughout the quarter. This is because the dividend gets backed out of the price on the ex-dividend date. The price begins to recover as buyers anticipate qualifying for the next dividend.

Payable date: This is the date the dividend will actually be given to the shareholders of company.

A typical timeline for all the dates are given below in Figure 3.5 below

Declaration Date	Ex-Dividend Date	Record Date	Payment Date
27-Apr-15	06-May-15	09-May-15	09-Jun-15

Fig 3.5 ; Important Dividend Dates for a Stock